SYPHER SOLUTIONS

FEASIBILITY STUDY

ILLUSTRATIVE SAMPLE

CAFÉ AND SPECIALTY GROCERY · A SECOND LOCATION

Juniper & Vine Provisions

Second location feasibility study

Feasible with conditions. The demand is there; the lease decides the timing. A larger tenant allowance and a staged opening bring break-even to Month 19.

$1.18m
all-in cost to open the second store

Month 19
cash break-even with the recommended lease

$287k
Year 3 EBITDA on $2.05m revenue

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STRATEGY / INSIGHT / INNOVATION / TRANSFORMATION

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JUNIPER & VINE · FEASIBILITY STUDY

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01 BOTTOM LINE

Executive summary

On the inputs as given, a second Juniper & Vine is feasible with conditions. The neighbourhood has the demand and the first store's numbers travel, but the lease as offered pushes break-even past Month 24. With a larger tenant allowance and a staged opening, break-even comes at Month 19.

$1.18m
all-in cost to open, including working capital

$287k
Year 3 EBITDA on $2.05m revenue (14.0%)

6%
of trade-area café and grocery spend needed in Year 1

Month 19
cash break-even with the recommended lease

SIX QUESTIONS, SIX VERDICTS

Question	Finding	Verdict
Is there demand?	The plan needs about 6% of estimated café and specialty grocery spend within a ten-minute drive in Year 1, and 8% by Year 3.	YES Yes. Strongest at breakfast and weekends
Does the site work?	Corner frontage, 28 shared spaces and an existing grease trap. The offered allowance of $35 per SF covers about half the build-out.	YES, IF Yes, at $60 per SF allowance or a rent-free fit-out period
Do the unit economics work?	Year 3 EBITDA of $287k on $2.05m revenue (14.0%), against 16.1% at the first store.	YES Yes, with prep shared across both stores
Is the financing feasible?	$450k of owner equity plus a $730k SBA 7(a) loan covers the cost to open with a $90k reserve.	YES, IF Yes, if the reserve is held until Month 12

Can the first store carry the ramp alone?	Store 1 generates about $16k a month of free cash; the ramp consumes up to $31k a month in Months 2 to 7.	**NO** No. The reserve has to carry it
Should the commissary come first?	A shared prep kitchen saves about $6 per $100 of sales, but only above roughly $3.2m of combined revenue.	**YES, IF** Yes, on a volume trigger, not at opening

WHAT DECIDES IT

I **The lease.** Every $5 per SF of tenant allowance moves break-even by about one month. At the offered $35 per SF the store breaks even in Month 25; at $60 per SF, in Month 19.

II **Weekday lunch.** The model assumes 140 lunch covers a day by Month 6, against 165 at the first store. Each 10 covers is worth about $26k a year of EBITDA.

III **The manager.** The first store's results trace to an owner on site six days a week. The second store needs a general manager hired before construction ends.

02 DEMAND AND SITE

Market and site

The trade area can absorb a second store. The open question is the lease, not the demand.

Trade-area spend (our estimate). About 31,000 households live within a ten-minute drive of the proposed corner. Applying regional café, bakery and specialty grocery spend per household gives roughly $24m to $27m a year. The plan needs $1.4m of that in Year 1 and $2.05m by Year 3.

A second store needs a small share of local spend

Planned café and grocery sales against estimated trade-area spend



Full bar: about $25m a year of café, bakery and specialty grocery spend within a ten-minute drive. Illustrative figures.

THE SITE

Item	Detail	Effect
Space	2,850 SF end-cap with corner glazing; 28 shared parking spaces	Fits the first store's layout with 12 more seats
Rent	$26 per SF base plus $7 common area charges, five years with two options	In line with the area; escalations of 3% a year
Tenant allowance	$35 per SF offered	Covers about half the build-out; ask for $60
Kitchen	Existing grease trap and hood chase from a former bakery	Saves an estimated $45k to $60k

Neighbours	Pharmacy, fitness studio, two dentists	Morning and lunch traffic; quiet evenings

WHAT TO NEGOTIATE

Ask for a $60 per SF allowance, or $45 per SF plus four months of free rent during fit-out. Either one brings break-even inside two years.

03 COST AND RESULTS

The model

The store costs about $1.18m to open and reaches $287k of EBITDA in Year 3. Cash break-even falls between Month 19 and Month 25, depending on the lease.

Cost to open: $1.18m

Base case, building on the existing kitchen services



Before the tenant allowance. At $35 per SF the landlord funds about $100k; at $60 per SF, about $171k.

Three-year results, recommended case

	Year 1	Year 2	Year 3
Revenue	$1,420,000	$1,860,000	$2,050,000
Food and beverage cost	$454,400	$576,600	$625,300
Labour	$511,200	$613,800	$656,000
Occupancy	$113,000	$116,400	$119,900
Other operating costs	$255,600	$334,800	$361,800
EBITDA	**$85,800**	**$218,400**	**$287,000**
Debt service ($730k, 10 years)	$98,500	$98,500	$98,500
Free cash after debt service	**($12,700)**	**$119,900**	**$188,500**

Illustrative figures. Year 1 is negative after debt service, which is why the $90k reserve is held until Month 12.

04 THE PLAN

Recommended plan and decision gates

Fund the store with $450k of owner equity and a $730k SBA 7(a) loan, hold $90k in reserve until Month 12, and release spending in three gates.

Gate	Release	Evidence required
Gate 1	Sign the lease	A tenant allowance of $60 per SF, or $45 per SF with four months of free rent; a general manager candidate identified
Gate 2	Start construction	Contractor bid within 5% of $520k; SBA commitment letter; general manager hired
Gate 3	Add the commissary	Combined sales above $3.2m a year for three months running

OPEN QUESTIONS, RANKED BY IMPACT

1. **B4.** Will the landlord fund $60 per SF, or $45 per SF with free rent? (moves break-even by up to six months)
2. **C2.** What do the first store's weekday lunch covers look like by month for the last two years?
3. **A7.** Who runs the second store day to day, and what would they be paid?
4. **E1.** Does the existing hood chase meet current code, or does it need replacing?
5. **D3.** Will the supplier extend the first store's terms and pricing to both stores?
6. **B9.** How much catering demand does the first store turn away today?

Illustrative sample prepared to show the format of a Sypher Solutions feasibility report. The business, the site and every figure are fictional.

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